

Property Disclosures

STUDY SHEET

Top Takeaways

Seven percent of your licensing exam questions will relate to property condition and disclosure.

A. Property Condition

1. Seller's Property Condition Disclosure Requirements

- Sellers are required to fill out property condition disclosures. Licensees may not perform this task for sellers.
- Neither sellers nor licensees can lie about or conceal known property defects.
- In most states, licensees have a duty to disclose to potential buyers any material, adverse information they actually possess about the physical condition of the property using MAAP:
 - **Material** : Information is considered material if it is important in deciding what course of action the buyer takes regarding the real estate transaction.
 - **Adverse** : Information is considered adverse if it is negative and is regarded as any information that would reduce a property's value. Adverse material information is any information that would cause an ordinary person to choose not to go through with the real estate transaction.
 - **Actual** : The licensee must have actual knowledge about the physical condition of the property. Licensees must disclose what they know.
 - **Physical** : The licensee has a duty to disclose any adverse material fact about the physical condition of the property.

2. Property Conditions That May Warrant Inspections or a Survey

- Licensees should encourage all buyers to obtain home inspections and additional tests as necessary, even on new construction.
- Seller disclosures aren't always accurate, and sellers might not be aware of all defects. Home inspections can help determine the true condition of a property.
- A home inspection contingency is one of the best ways to protect the buyer's earnest money.
- Inspectors will seek to uncover any safety or health hazards on a property during a home inspection, as well as defects that could jeopardize a structure's integrity, such as moisture or pest infestation.
- Licensees aren't required to perform inspections.
- Various land/soil conditions may warrant further inspection.
 - Standing water present more than 24 hours after heavy rain or ground sloping toward the house may indicate drainage problems.
 - Mulch mounded against a house or other structure with wood frame siding can hold moisture against the siding, leading to wood rot.
 - A sinkhole or settling beyond what's typically expected may be a sign of mine subsidence (a gradual sinking or caving in), underground storage tanks, or other buried hazards.
 - A vent pipe protruding from the ground may also be a sign of an underground storage tank.
 - Soft spots and mounds may indicate that the property was used for waste disposal.
- Property line location, encroachments, and easements may be a concern.
 - An on-site survey can help determine easements, encroachments, boundaries, and lot size.
 - It's important for the buyers to know of any easements or encroachments because they can affect a property's enjoyment, use, and value.
 - As known easements and encroachments are material facts, licensees and sellers are required to disclose them based on existing state laws.
 - The property's deed and title history should list known easements. Subdivision maps may also show known easements.
 - An encroachment occurs when someone illegally places an object or structure on another person's property.
- The presence of pests (e.g., of the insect or arachnid variety), mold, and other interior hazards often have telltale signs.
 - Common wood-eating pests include termites, carpenter ants, and powderpost beetles.
 - Many small holes through wooden beams could indicate the presence of wood-boring beetles.
 - Carpenter ants leave behind a sawdust-like material called frass when they burrow through wood.
 - The presence of mud tunnels in walls may indicate termite infestation.
 - Interior environmental hazards may include radon, asbestos, and mold. Testing can determine the presence of any of these hazards.
 - **Radon** occurs naturally in the environment and can be found in soil and well water.

- **Asbestos**, a fibrous material that becomes dangerous when it deteriorates and becomes friable (easily crumbled), was used in many materials before the 1970s because of its fire-retardant qualities. Inhaled particles can damage the lungs over time. Only licensed professionals should handle asbestos.
- **Mold** growth is promoted by excessive moisture and lack of air circulation.
- **Lead** can be found in paint, plumbing, dust, soil, and drinking water.
 - Lead causes many health issues, particularly among infants, children, and the elderly. In children, lead-related issues can include behavioral problems, learning disabilities, seizures, and even death.
- Some structural issues are fairly simple to spot, while others are hidden. The presence of any of these issues indicates a need for further investigation by a trained specialist:
 - Discolored or curling shingles, water buildup or ice damming in gutters, damage to flashing, water damage along the fascia, and cracks, holes, or rot on the soffit
 - Missing, cracked, displaced, or otherwise damaged roof components
 - Creosote buildup on the exterior of the chimney, drafts near the fireplace, a cracked or sloping hearth or firebox, and loose or crumbling bricks
 - Cracks in foundation or basement walls, moisture in the basement, misaligned doors and windows, cracks in drywall, and separation around garage doors
 - Damaged or broken window glass and screens, windows that stick or won't stay open, damaged hardware, and leaking or damaged seals
 - Soft or uneven floors along with discoloration along walls and a musty odor
 - Discoloration in the attic or around windows and doors
- Electrical, plumbing, and other major property systems, as well as appliances, should be carefully inspected because of the danger they present and the cost to repair or replace them.
 - Rooms that are too hot or cold, furnace or A/C that won't turn on when temperature is adjusted, or pilot light that won't stay lit
 - Electrical switches that are warm to the touch, lights that dim when others are in use, burned or discolored outlets, faulty appliances, and old or damaged circuit breakers
 - Water damage on ceilings or walls, leaking or blocked drains, clogged or leaking toilets, reduced water pressure, or soggy ground around the home
 - Galvanized plumbing pipes corrode and rust over time, restricting water flow and resulting in bits of debris and mineral deposits appearing in water.
- Properties that are located within the boundaries of a natural hazard, a specifically regulated area, or an area designated by insurance companies as high hazard may be difficult and expensive to insure.
 - Sellers might not disclose issues that make a property uninsurable, so buyers should perform due diligence.
 - Issues that may make a property difficult or impossible to insure include homes that have had a history of claims based on high-risk issues, such as mold, or those located in areas in which there are high claim rates for weather events, such as high wind and hailstorms.
 - Insurance companies check the Comprehensive Loss Underwriting Exchange database to help determine insurability of property.
 - Insurance contingencies are common in sales contracts.
- Any obvious property additions or alterations deserve an investigation as to whether permits were obtained and work was performed correctly.
- Unpermitted work could result in partial or full disassembly of the work to inspect it, as well as possible correction or restoration to the original state.

3. Red Flags That Warrant Investigation of Public or Private Land Use Controls

- Buyers should inquire about the location of the property and whether it's currently or will in the future be located in a protected zone, such as a wetland or a historical district.
- Buyers should also inquire about the property's zoning classification and whether there are any anticipated changes in the current classification of the property itself or the surrounding neighborhood.
- Some sellers disclose tax abatements, but buyers should check this independently. A tax abatement program lowers the property's taxes for a set amount of time, usually for new construction or when a property lies in an area designated for rehabilitation or renovation. Tax abatements for elderly homeowners are also common.
- Sellers and licensees may be required to disclose if the property currently is or is planned to be in a flight path.

B. Environmental and Government Disclosures

1. Environmental Issues Requiring Disclosure

- External environmental hazards may be difficult to detect. Most states require that sellers disclose known environmental issues, including:
 - Underground storage tanks

- Groundwater contamination
- The presence of former waste disposal sites
- Mining activities
- Use of agricultural pesticides

2. Federal, State, or Local Disclosure Requirements Regarding the Property

- The federal government doesn't mandate disclosure on many issues (states typically step in to fill this void), but it does strictly enforce disclosures regarding lead hazards.
- Lead is most often found in water and paint.
- Sellers in residential real estate transactions involving properties built before 1978 must provide a lead-based paint disclosure and EPA-produced "Protect Your Family ... " lead safety pamphlet to the buyer.
- The seller must disclose any known presence of lead-based paint or any property reports that have been prepared related to testing for the presence of lead.
- The presence of lead is most dangerous for children. Sufficient quantities of inhaled or ingested lead-based products may cause behavioral problems, learning disabilities, seizures, and, in extreme cases, death.
- Licensees representing sellers must ensure that they and their sellers are complying with lead disclosure requirements (providing the pamphlet, prior test results, etc.).
- Licensees representing buyers should make sure that if a property were built before 1978, the lead safety pamphlet and any prior test results are provided. They should also ensure buyers know they have a 10-day window to have a lead inspection or risk assessment performed.

C. Disclosure of Material Facts and Material Defects

- Material facts may have a different impact on different buyers depending on their needs, interests, and values.
- An **adverse material fact** is negative property information that could reduce the property's value.
- A **latent defect** is a hidden property condition that's not likely to be discovered through a general review or inspection.
- The property owner's and licensee's role regarding property condition is generally dictated by state law.
- Some states require the seller and the licensee to affirmatively (proactively) disclose all known "material facts" and latent defects about the property.
- Other states subscribe to a "**buyer beware**" (aka **caveat emptor**) doctrine and are not considered full disclosure states. In these states, the seller makes no representations about property conditions, and the burden is on the buyer to perform due diligence.
- Many states fall somewhere in between. The seller may not be required to make affirmative disclosure but may be compelled to give information if specifically asked; sellers may be required to disclose only known adverse material facts.
- Even the disclosure of latent (not visible or easily detected in a cursory inspection) defects may or may not be required, depending on state law.
- Most jurisdictions have some sort of written disclosure or disclaimer form that sellers are required to complete and provide to buyers. Licensees may not complete these forms or advise sellers how to complete them other than to remind them to be honest.
- The seller in some states is required to disclose all items listed on the seller disclosure form and known latent defects not on the form; in other states, the seller may have the option to either answer the questions on the form or "disclaim" and say he or she will make no representations.
- Buyers who learn about undisclosed adverse issues prior to closing may terminate the agreement and try to get their earnest money back.
- Stigmatized properties are locations where a death (either homicide or suicide), crime, or haunting or other paranormal activity occurred. Most states do not consider these disclosable issues, but a few states do.
- Disclosing that a previous owner or resident had HIV or AIDS is a fair housing violation. Licensees should never disclose this information.
- Sellers and licensees need not disclose the presence of nearby sexual offenders. Buyers can be directed to websites or other resources to research information made available by Megan's Law.
- Licensee disclosure responsibilities vary depending on the state.
 - In some states, the listing agent must ask clients about red flags in order to be in a position to know about material facts at the time of listing a property for sale.
 - A licensee is required to disclose either known adverse material facts or all known material facts according to specific state laws. Disclosure should be made before contractual agreement takes place.
 - In states that don't require full disclosure, the seller's agent has a responsibility to notify the seller of the following duties:
 - To disclose items that are required to be disclosed
 - To be honest
 - To not hide defects
 - In full disclosure states, the seller's agent has a responsibility to notify the seller of the duty to disclose all known material facts.
 - Some states limit required property disclosure to adverse material facts physically located on the property; others specifically call for the disclosure of any material fact that would influence decisions about the property.
 - Licensees must be aware of state law regarding disclosures.
 - In non-full-disclosure states, the buyer's agent has a responsibility to counsel the buyer about due diligence and home inspections and to follow up on red flags.

- The buyer's agent's responsibilities are the same as in caveat emptor states, with the added tasks of obtaining and reviewing the property disclosure statement.
- Some states have laws exempting inspection findings from disclosure.
- The inspection report is the property of the buyer. If the listing agent requests a copy, the report can only be released with the buyer's permission.
- Sellers and listing agents often choose not to review the inspection report, especially if the buyers terminate the contract based on the report, because they are then liable to report any adverse findings.
- There is typically no obligation to share a prior inspection report with a new prospective buyer.

For additional information, consult your PSI candidate handbook.